NEED TO KNOW

# PROTECTING UNIT HOLDERS

SEBI's push to create unit holder protection committees is a welcome move amid a rising number of mutual fund investors. Especially when many are investing directly with the asset management companies

Illustration by SIDDHANT JUMDE

The rising number of mutual fund investors has prompted the Securities and Exchange Board of India (SEBI) to protect the interests of the unit holders, leading to a directive to each of the asset management companies (AMCs) to set up a Unit Holder Protection Committee (UHPC). It will come into force on January 1, 2024.

According to a SEBI circular, which clarifies the roles and responsibilities of the trustees and board of AMCs, the UHPC has the following mandate: review the various compliance issues relating to the protection of interests of unit holders, and keep them well-informed of mutual fund products, investor charter, and complaint-handling procedures. The circular further states that the UHPC will ensure compliance with laws and regulations, and other related processes with specific reference to the operations of mutual fund houses. It will also make recommendations for protecting the interests of investors as well as monitor implementation. It will report its findings to the board of directors of the AMC along with recommendations for action.

**THIS DIRECTIVE BRINGS INVESTORS TO THE FOREFRONT, MAKING IT IMPORTANT FOR ASSET MANAGEMENT COMPANIES TO TAKE THEIR INTERESTS SERIOUSLY**

This directive brings investors to the forefront, making it important for AMCs to take their interests seriously. At the same time, it also provides unit holders with a clear route to take up their concerns with the AMC once they start investing.

With several unit holders investing directly with the AMC, often they find it challenging to get their problems addressed, especially when certain issues don't fall under the routine category. With the UHPC, such unit holders will have better access to means to get their concerns addressed and resolved. Having such a committee will bring more checks and balances in the working of any AMC in ensuring that all unit holders are treated alike and their interests are well taken into account.

## A PAID-FOR PERFORMANCE

If you are an employee, especially in roles where incentives determine a portion of your income, you would understand the upside of performance-based pay—how incentives motivate employees and drive them to achieve targets and more. The market regulator SEBI is contemplating something similar for mutual fund schemes, wherein they will be allowed to charge a performance-based fee for managing funds. Currently, the fee charged by mutual funds is based on a percentage of the assets it manages subject to the type of fund as stipulated in the regulations.

Though the details of the new performance-based fee scheme are not yet out, it is expected that SEBI may allow the AMCs (asset management companies) to